Chapter Name

Employment : Growth Informalisation and other Issues

→ Labour Force : It is a currently active population, it is the sum of person who are employed and unemployed.

→ Work Force : It is a part of the population that is actually employed.

example -
Total population of a country = 100
Part of population willing and capable to do work = 80
Working part of the population = 70
unemployed population = 10
Here, labour force is 80 and work force is 70.

→ Worker - Population ratio :-

It can be calculated $\frac{\text{Total number of worker}}{\text{Population}}$

$$\frac{\text{Total number of worker}}{\text{Population}} \times 100$$

Worker population ratio is an important indicator of the employment situation in an economy. This is the ratio of workers to total population.

→ Rate of Unemployment :-

The unemployment rate is defined as the percentage of unemployed workers in the total labour force. Calculated as

$$\frac{\text{No. of unemployed Person}}{\text{Labour force}} \times 100$$

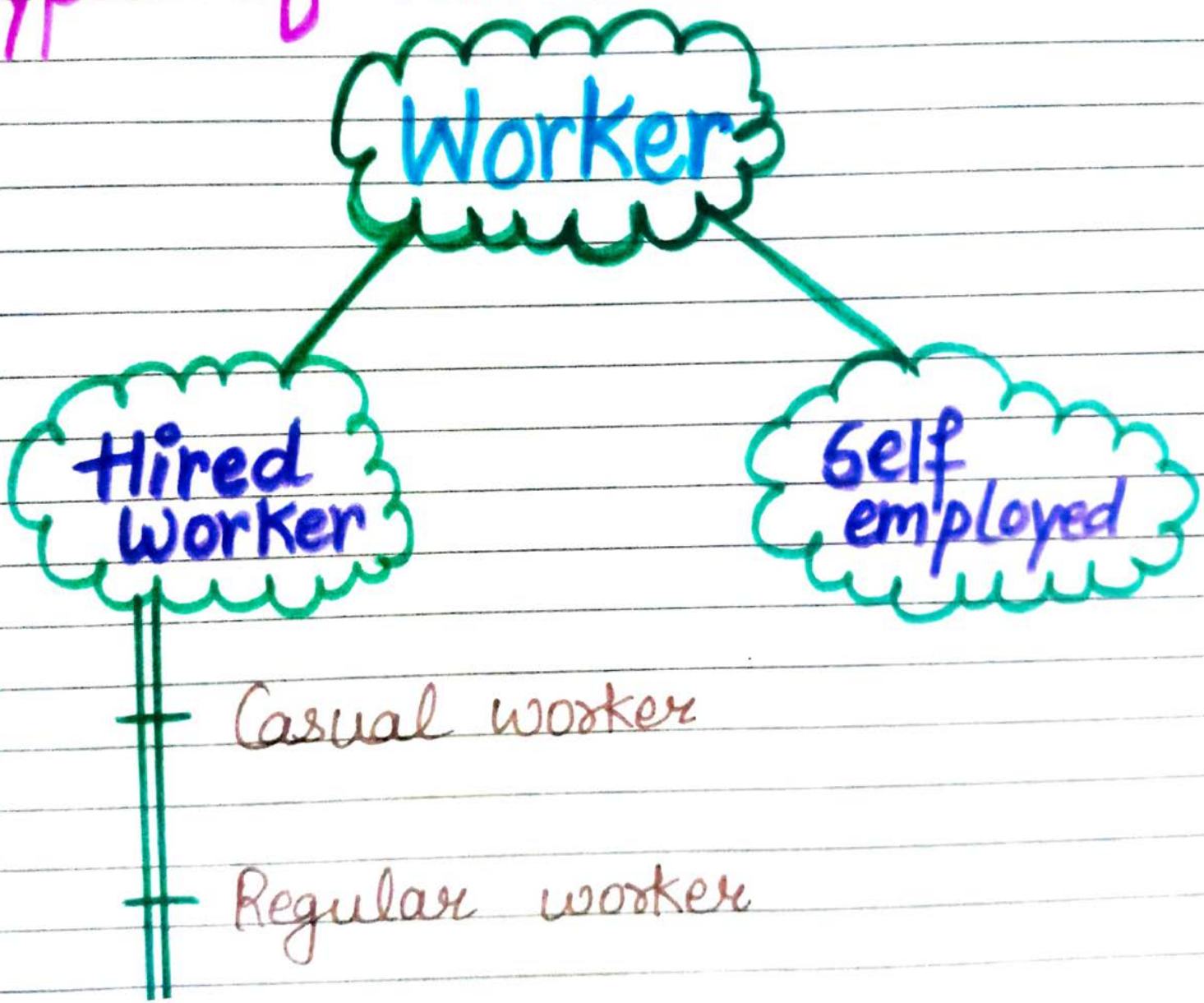
→ Meaning of Worker

Worker is a person who is busy performing any economic activity.
In other word, a worker is regarded as an economic agent who contributes to the production of goods and services, thereby, to the GDP during a particular year.

Are the following workers - A Beggar, A Thief, A Smuggler, A gambler? Why?

No, a beggar, a thief, a smuggler, a gambler cannot be called as worker. A worker is involved in production activity that contributes to the GDP of a country. As none of them are involved in any legal economic production activity that contributes to the GDP of the country. Hence, none of them can be treated as a worker.

Types of Worker



Self - employed

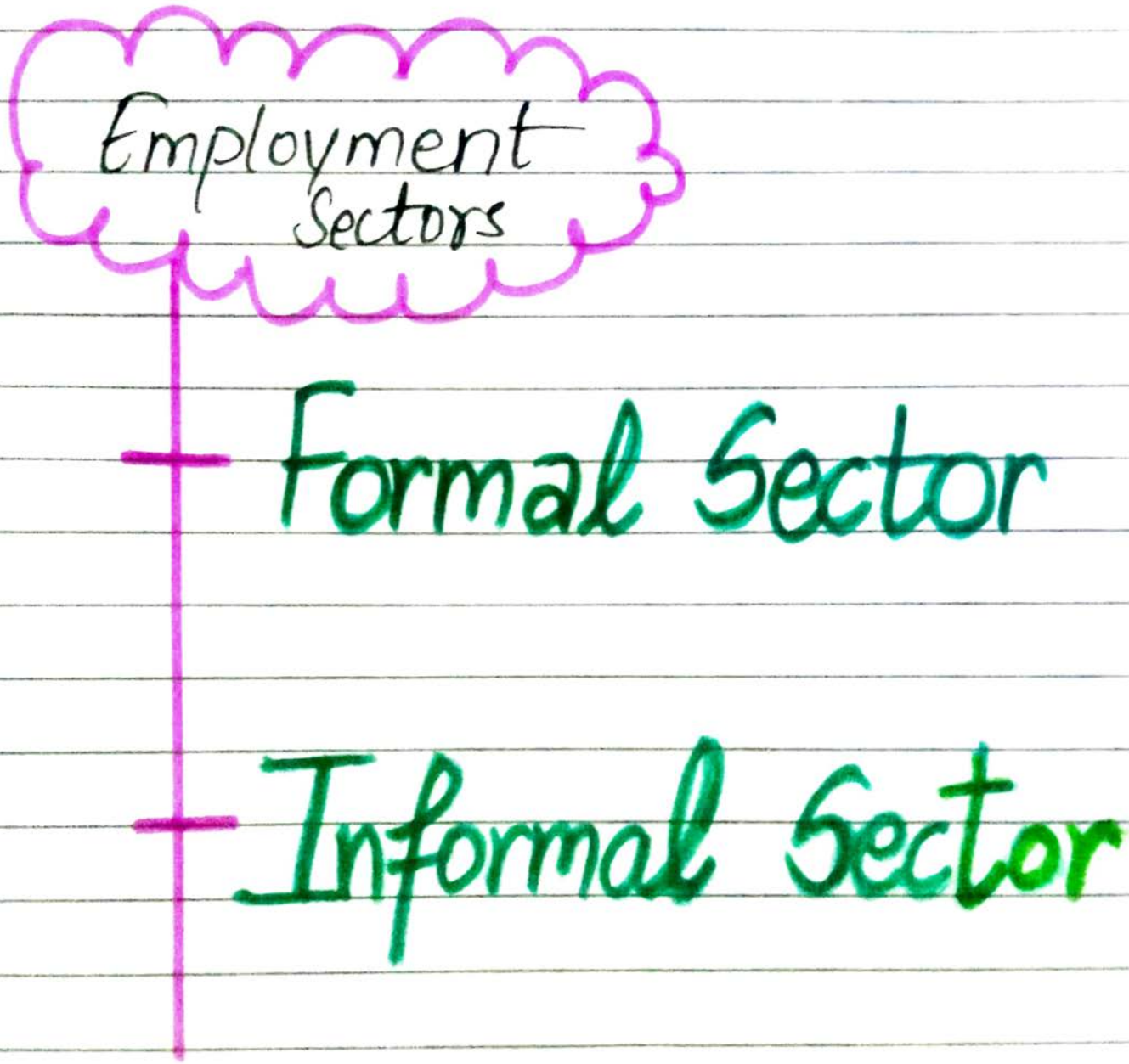
They are the worker who own operates their own enterprise (52%)

Casual worker

They are worker who are casually engaged and get wages for the work done. (30%)

Regular - Salaried employees

Yhey are the worker who are engaged by someone and get wages on regular basis. (18%).


Employment Sectors
Formal Sector
Informal Sector

Formal Sector employment

It refers to the enterprise where at least 10 workers are employed. Employees working in this sector enjoy social security benefit like provident fund, gratuity etc. They are also known as organised sector. Formal Sector workers account for just 6% of the total workforce in India.

Informal Sector employment.

It refers to the enterprise where less than 10 workers are employed. Employees working in this sector doesn't enjoy such social security benefit. No trade union exists for the employees working informal sector. It is also known as unorganised sector. Informal sector employment account for approx. 94% of the total workforce.

Informalisation of Workforce

It refers to a situation where percentage of the workforce in the informal sector to total workforce increases.

Informalisation of Indian workforce :

Workers and enterprise in the informal sector do not get regular income. They do not have protection or regulation from the government. Workers are dismissed without any compensation. Technology used in this sector is outdated. They also do not maintain any accounts. Workers of this sector live in slum and are squatters.

Casualisation of workforce

The process of moving from self employed and regular salaried work to casual wages work is known as casualisation of workforce.

Jobless Growth

It is defined as a situation where GDP grow faster than the employment opportunities resulting in unemployment.

Types of Unemployment in INDIA

- Disguised unemployment
- Seasonal unemployment
- Open unemployment

DATE: __/__/____
PAGE: _____

Disguised / Hidden unemployment

It is fond when more than the desired number of workers are engaged in a work such that marginal productivity of many workers edges toward zero. It is most commonly seen in agriculture sector.

Seasonal unemployment

It refers to the unemployment that occurs at a certain season of the year.

Open unemployment

People do not get work when they are able to do so and also willing to do so. Such unemployment situation is clearly seen in big cities.

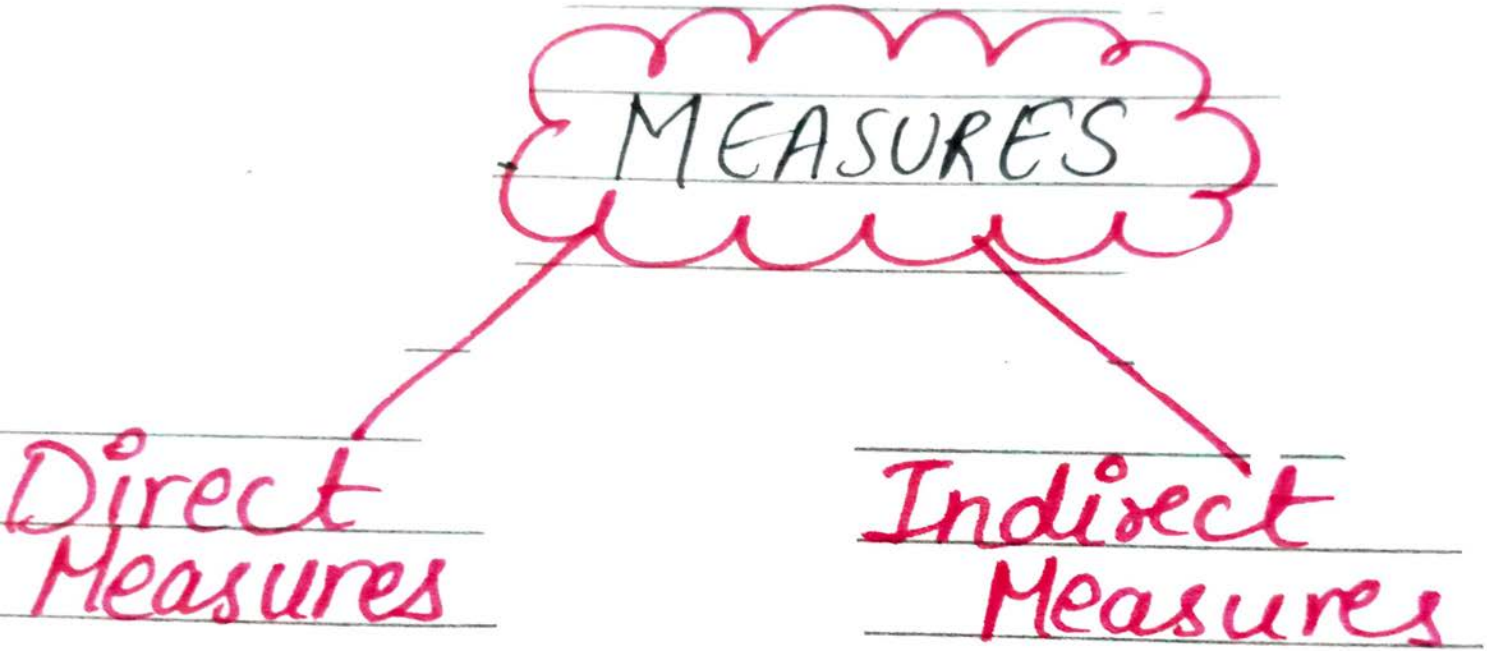
Causes of unemployment

1. Slow speed of economic growth
2. Fast speed of population growth
3. Defective educational system.
4. Low capital formation.
5. Slow growth of Agriculture
6. Slow growth of the Industry
7. Inadequate employment planning.

→ Remedial Measures for unemployment.

1. Accelerating economic growth.
2. Control on population growth.
3. Improvement in infrastructure facilities.
4. Creation of employment opportunities.
5. Reform of educational system and skill growth.
6. Development of Industrial sector.
7. Development of Agriculture sector.

Role of government to reduce unemployment.


MEASURES
Direct Measures
Indirect Measures

DIRECT MEASURES

1. Direct Recruitment in PSUs

Government gives or provides job to unemployed people in PSUs

example :- BHEL, NTPC, NNPC, SAIL, GAIL BPCL, Indian oil etc.

INDIRECT MEASURES

2. Purchase of goods and services in open market.

Government purchases some goods and services from market instead of producing them by their own.

example : stationary products, Food services etc.

3. Employment generation Programmes.

(a) Mahatma Gandhi National Rural employment Guarantee Act (MNREGA)

(b) Prime minister Rojgar yojna.

(c) Swarna Jayanti Shahri Rojgar Yojna.

(d) Swarna Jayanti Gram Swarojgar Yojana.